BEFORE THE OFFICE OF ADMINISTRATIVE HEARINGS

In the Matter of: Yavapai Herbal Services, Inc., Appellant.	)	Case No.: 2023-MMR-0319-DHS NOTICE OF HEARING AND APPOINTMENT OF ADMINISTRATIVE LAW JUDGE

PURSUANT TO the request of the Appellant, you are hereby notified that the Office of Administrative Hearings, on behalf of the Arizona Department of Health Services (the "Department"), will conduct a hearing at 1740 W. Adams St., Lower Level, Phoenix, AZ 85007 on August 25, 2023 at 9:00 AM to consider the Department's June 15, 2023 Notice of Intent to Revoke Marijuana Establishment License.

YOU ARE ADVISED that the hearing will be conducted under the authority of and in accordance with Arizona Revised Statutes ("A.R.S.") Title 36, Chapter 28.1, and Title 41, Chapter 6, Article 10, and Arizona Administrative Code ("A.A.C.") Title 9, Chapter 17.

YOU ARE ADVISED that you have the right to be represented by counsel or to proceed without counsel. A.R.S. § 41-1092.07.

Any supporting documents to this matter submitted to the Clerk of the Department at the time of the request for an administrative hearing are not part of the administrative record with the exception of documents that set in place the request for an administrative hearing. Documents may be submitted into evidence at the scheduled administrative hearing before the assigned administrative law judge.

YOU ARE FURTHER ADVISED that failure to appear at the scheduled hearing may result in the administrative law judge dismissing the matter or otherwise deciding the case against you.

The Office of Administrative Hearings has appointed Tammy Eigenheer, Office of Administrative Hearings, as administrative law judge to conduct such hearing and issue such orders pursuant to the Office of Administrative Hearings' procedural rules and the procedural rules that the administrative law judge determines are necessary to properly adjudicate the above-captioned matter. **Information regarding procedures, practice pointers, on-line filing of motions, such as making requests to appear telephonically, is available through Office of Administrative Hearings' website at www.azoah.com.**

In accordance with A.R.S. § 41-1092.08, the administrative law judge shall submit to the Director of the Department a written recommendation including proposed findings of fact, conclusions of law, and a recommended decision regarding the disposition of this matter.

The original of all correspondence and pleadings to be filed in the matter should be directed to the Office of Administrative Hearings, 1740 W. Adams St., Lower Level, Phoenix, AZ 85007. Please provide copies to all other parties and to the agency at the address listed below.

Persons with a disability may request a reasonable accommodation, such as a sign language interpreter, **by visiting www.azoah.com, and submitting an on-line motion, by mail** to the Office of Administrative Hearings, 1740 W. Adams St., Lower Level Phoenix, AZ or **by calling (602) 542-9826**. Requests should be made as early as possible to allow time to arrange the accommodation.

Dated this 30th of June, 2023.

.

Kimberly Kaplan
Director's Designee

ORIGINAL filed on the 30th day of June, 2023 with:

Clerk of the Department
Arizona Department of Health Services
150 N. 18th Ave., Ste. 200
Phoenix, AZ 85007

COPY of the foregoing sent by certified mail return receipt requested on the 30th day of June, 2023:

Ihsan Ullah, Owner
Sarah Warraich, Owner
Yavapai Herbal Services, Inc.
1414 W Broadway Road, Suite 210A
Tempe, AZ 85282

Jesse R. Callahan
Danika M. Marzillier
MAY, POTENZA, BARAN & GILLESPIE, P.C.
201 North Central Avenue

COPIES of the foregoing sent by electronic/interdepartmental/regular mail on the 30th day of June, 2023, to:

Ihsan Ullah, Owner
Sarah Warraich, Owner
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Thomas Salow, Assistant Director
Megan Whitby, Deputy Assistant Director
Kimberly Crawford, Deputy Section Chief
ADHS/Division of Public Health Services-Licensing Services

150 N. 18th Ave.
Phoenix, AZ 85007
PHLENF@azdhs.gov

Tammy Eigenheer, Administrative Law Judge
Office of Administrative Hearings
1740 W. Adams St., Lower Level
Phoenix, AZ 85007

CLEAR SUBMIT

OFFICE OF ADMINISTRATIVE HEARINGS

REQUEST FOR HEARING

DATE:	06/28/2023
TO:	Casemanagement@azoah.com
FROM:	Stephanie Vaca
EMAIL (REQUIRED):	stephanie.vaca@azdhs.gov
DOCKET NO.:	2023-MMR-0319-DHS

CAPTION (REQUIRED)

In the Matter of
Yavapai Herbal Services, Inc.

Hearing Type *

Date of Request 06/28/2023 *Purposed Date/Time

*** The date MUST be within 60 days of an appealable agency action hearing request, or within 60 days of this contested case hearing request UNLESS at least one of the following factors are true:**

☐ All parties agree to a date beyond 60 days ☐ OAH to set case for intervening prehearing within 60 days

BY CHECKING A BOX, THE AGENCY IS CERTIFYING TO THE OAH THAT THE FACTORS ARE TRUE.

(REQUIRED) NAME AND ADDRESS

Respondent	Complainant	Appellee
Ihsan Ullah, Owner Sarah Warraich, Owner Yavapai Herbal Services, Inc. 1414 W Broadway Road, Suite 210A Tempe, AZ 85282 Sheraz Warraich Statutory Agent, Yavapai Herbal Services, Inc.	Jesse R. Callahan (025393) Danika M. Marzillier (037901) MAY, POTENZA, BARAN & GILLESPIE, P.C. 201 North Central Avenue, 22nd Floor Phoenix, AZ 85004-0608	Gregory W. Falls gfalls@shermanhoward.com Matthew A. Hesketh MHesketh@shermanhoward.com Sherman & Howard 2555 E. Camelback Rd., Ste. 1050 Phoenix, AZ 85016
Phone:	Phone: (602) 252-1900	Phone: (602) 240-3000
Email:	Email: jcallahan@maypotenza.com dmarzillier@maypotenza.com	Email:

OAH USE ONLY:

Assigned ALJ: *

ASSIGNED AS			
HEARING		**PREHEARING (if applicable)**	
DATE:		DATE:	
TIME:		TIME:	
LOCATION:		LOCATION:	

SPECIAL ADVISEMENT	
FROM OAH	FROM AGENCY
tammy eigenheer 8/25 9:00	

BEFORE THE DIRECTOR OF

THE ARIZONA DEPARTMENT OF HEALTH SERVICES

In the Matter of:	)	Docket No.: 2023-MMR-T0266-DHS
	)	
	)	
	)	NOTICE OF INTENT TO REVOKE
Yavapai Herbal Services, Inc.	)	MARIJUANA ESTABLISHMENT LICENSE
	)	AND NOTICE OF RIGHT TO REQUEST
	)	ADMINISTRATIVE HEARING
	)	
	)	
	)	

I. JURISDICTION

The Arizona Department of Health Services (the "Department") is charged by Arizona Revised Statutes ("A.R.S.") § 36-132(A)(1) with the power and duty to enforce the body of laws that protect the health of the people of the State of Arizona. In addition, A.R.S. § 36-136(G) authorizes the Director of the Department (the "Director") to "make and amend rules necessary for the proper administration and enforcement of the laws relating to the public health."

The Smart and Safe Arizona Act (the "SASAA"), A.R.S. § 36-2850 *et seq*., was passed in November 2020 and became effective in December 2020. The rules adopted by the Department to implement the SASAA, Arizona Administrative Code ("A.A.C") R9-18-101 *et seq*., became effective January 15, 2021, as thereafter amended (the "SASAA Rules"). *See* A.R.S. § 36-2854 (giving the Department rulemaking authority under the SASAA).

Under A.R.S. § 36-2854(B)(3), the Department may "[a]t any time during regular hours of operation, visit and inspect a marijuana establishment, marijuana testing facility or dual licensee to determine if it complies with this chapter and rules adopted pursuant to this chapter. The [D]epartment shall make at least one unannounced visit annually to each facility licensed pursuant

to this chapter."

Under A.R.S. § 36-2850(22), a "[m]arijuana facility agent" means "a principal officer, board member or employee of a marijuana establishment or marijuana testing facility who is at least twenty-one years of age and who has not been convicted of an excluded felony offense." Pursuant to A.R.S. § 36-2855(A), "[a] marijuana facility agent shall be registered with the [D]epartment before working at a marijuana establishment." A marijuana establishment must "[e]nsure that all principal officers, board members, employees and volunteers providing services for the marijuana establishment maintain valid marijuana facility agent licenses" that "are linked to the marijuana establishment through the Department's electronic system." A.A.C. R9-18-308(A)(5). The marijuana establishment also must ensure that each marijuana facility agent's license is "in the marijuana facility agent's immediate possession when . . . [w]orking or providing volunteer services" at the marijuana establishment's retail site, cultivation site, or manufacturing site. A.A.C. R9-18-308(A)(6). Furthermore, a marijuana establishment shall "[n]ot allow an individual who does not possess a marijuana facility agent license or who does not meet the requirements in A.R.S. § 36-2855(E) to: a. [s]erve as a principal officer or board member for the marijuana establishment, b. [b]e employed by the marijuana establishment, or c. [p]rovide volunteer services at or on behalf of the marijuana establishment." A.A.C. R9-18-308(A)(7).

In addition, under A.R.S. § 36-2860(A)(3), "a marijuana establishment may not . . . [s]ell or advertise marijuana or marijuana products with names that resemble or imitate food or drink brands marketed to children, or otherwise advertise marijuana or marijuana products to children."

The Department is authorized to revoke a marijuana establishment license if the marijuana establishment violates the SASAA or the SASAA Rules. A.R.S. § 36-2854(B)(1)(a); A.A.C. R9-18-316(C)(3).

II. MARIJUANA ESTABLISHMENT LICENSE HISTORY

Yavapai Herbal Services, Inc. ("Yavapai Herbal Services"), an Arizona corporation, applied for and was awarded a marijuana establishment license (No. 00000121ESBM38825533), effective February 26, 2021 (the "License"), for a marijuana establishment located at 2715 S. Hardy Drive, Tempe, AZ 85282 (the "Establishment"). The Establishment recently moved and is now located at 2 N. 35th Avenue, Phoenix, AZ 85009. The License has a current expiration date of August 7, 2024.

III. REASONS FOR DEPARTMENT'S INTENT TO REVOKE THE MARIJUANA ESTABLISHMENT LICENSE

On February 8, 2023, the Department conducted a compliance inspection at the Establishment. During the inspection, Department Compliance Officers (the "Compliance Officers") observed four (4) violations of the SASAA and SASAA Rules, which were noted in a Statement of Deficiencies ("Establishment SOD") that was subsequently provided to Yavapai Herbal Services, consisting of the following violations.

A. Violation of A.A.C. R9-18- 315I(2)(e)

In violation of A.A.C. R9-18- 315(C)(2)(e), the Establishment failed to ensure that "[a] building used as a marijuana establishment's retail site . . . shall have . . . [a] toilet room [that] shall contain . . . [d]isposable, single-use paper towels in a mounted dispenser or a mechanical air hand dryer."

During a walkthrough of the Establishment's retail site, the Compliance Officers observed that each toilet room did not contain disposable, single-use paper towels in a mounted dispenser. The retail site's toilet rooms had paper towels that were placed in the toilet room but not mounted in a dispenser, nor was a mechanical air hand dryer present.

B. Violation of A.A.C. R9-18- 313(A)(5)(c)(i)

In violation of A.A.C. R9-18- 313(A)(5)(c)(i), the Establishment failed to ensure that

"the marijuana-infused edible food products . . . [i]f packaged as more than one serving, are . . . [s]cored or otherwise delineated into standard serving size." The Establishment was selling or otherwise transferring Angry Errl Dabatio 100mg hot sauce, which was not scored or otherwise delineated into standard serving sizes.

C. Violation of A.R.S. § 36-2860(A)(3)

In violation of A.R.S. § 36-2860(A)(3), the Establishment failed to ensure that it did not "[s]ell or advertise marijuana or marijuana products with names that resemble or imitate food or drink brands marketed to children, or otherwise advertise marijuana or marijuana products to children." The Establishment was selling or advertising Jeeter XLPre-Roll 2g, with the strain name "Thin Mint Cookies" that resembles a food brand marketed to children.

D. Violation of A.R.S. § 36-2855(A) and A.A.C. R9-18-308(A)(5)-(7)

In violation of A.R.S. § 36-2855(A), the Establishment failed to ensure that marijuana facility agents are "registered with the [D]epartment before working at a marijuana establishment or marijuana testing facility." The Establishment also failed to ensure that (1) all employees and volunteers had valid facility agent licenses that are linked to the Establishment through the Department's electronic system, (2) each facility agent's license is in the agent's immediate possession when working at the Establishment's retail site, and (3) the Establishment did not allow an individual who did not possess a facility agent license to be employed by or provide volunteer services for the Establishment. A.A.C. R9-18-308(A)(5)-(7).

The Compliance Officers discovered that an individual working at the Establishment's retail site did not have a valid facility agent license at the time of the inspection on February 8, 2023 because the former agent's license expired on January 31, 2023. The non-licensed employee, who was working at the time of the inspection, reported that they had a pending application to renew the license. However, the Department's Licensing Portal revealed that the non-licensed employee had

not submitted a renewal application and did not have any other pending applications. A review of employee schedules and timecards revealed that the non-licensed employee worked five days without being registered with the Department.

IV. FINDINGS, NOTICES, AND INSTRUCTIONS TO REQUEST A HEARING

YOU ARE HEREBY NOTIFIED that based on the foregoing and pursuant to A.R.S. § 36-2854(B)(1)(a) and A.A.C. R9-18-316(C)(3), the Department intends to revoke Yavapai Herbal Services' License (No. 00000121ESBM38825533) for failure to comply with SASAA and the SASAA Rules as set forth herein.

YOU ARE ADVISED that you have the right to request a hearing before the Arizona Office of Administrative Hearings and to have an Administrative Law Judge review this Notice of Intent to Revoke Marijuana Establishment License ("Notice"). A.R.S. § 41-1092.03(B). You may request a hearing by submitting a written request to the Clerk of the Department, Arizona Department of Health Services, **within thirty (30) calendar days** after this Notice is received. If you submit a timely request for a hearing, you will be given an opportunity at the hearing to respond to this Notice and to present evidence and argument on all relevant issues. A.R.S. § 41-1092.07(D). You have the right to be represented by counsel or to proceed without counsel. A.R.S. § 41-1092.07(B).

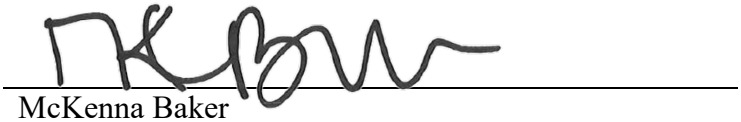
IF YOU TIMELY REQUEST A HEARING, YOU ALSO MAY REQUEST that the Department hold an informal settlement conference by submitting a written request to the Department **no later than twenty (20) calendar days** before the hearing scheduled in the matter. *See* A.R.S. § 41-1092.06(A). Such request shall be sent to Megan Whitby, Deputy Assistant Director, Public Health Licensing, Arizona Department of Health Services, 150 N. 18th Ave., Suite 410, Phoenix, Arizona 85007.

IF YOU DO NOT TIMELY REQUEST A HEARING, the Department's revocation of

Yavapai Herbal Services' License **will be automatically effective immediately upon the expiration of the thirty (30) day period following receipt of this Notice,** and the Department's revocation of Yavapai Herbal Services' License will not be subject to judicial review. A.R.S. §§ 12-902(B), 41-1092.08(H).

DATED this 15th day of June, 2023.

ARIZONA DEPARTMENT OF HEALTH SERVICES



McKenna Baker
Director's Designee

ORIGINAL filed this 15th day of June, 2023, with:

Clerk of the Department
Arizona Department of Health Services
150 N. 18th Ave., Ste 200
Phoenix, AZ 85007

COPY of the foregoing mailed certified mail,
return receipt requested this 15th day of June, 2023 to:

Ihsan Ullah, Owner
Sarah Warraich, Owner
Yavapai Herbal Services, Inc.
1414 W Broadway Road, Suite 210A
Tempe, AZ 85282

Sheraz Warraich
Statutory Agent, Yavapai Herbal Services, Inc.
1414 W. Broadway Rd.
Tempe, AZ 85282

COPIES of the foregoing sent by electronic/interdepartmental/
regular mail this 15th day of June, 2023, to:

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Sarah Warraich, Owner
Yavapai Herbal Services, Inc.
1414 W Broadway Road, Suite 210A
Tempe, AZ 85282

Sheraz Warraich
Statutory Agent, Yavapai Herbal Services, Inc.
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sstuart@shermanhoward.com

Tom Salow, Assistant Director
Megan Whitby, Deputy Assistant Director
Kim Crawford, Deputy Bureau Chief
Jason Swank, Marijuana Program Compliance Manager

ADHS
150 N. 18th Ave.
Phoenix, AZ 85007

Jesse R. Callahan (025393)
Danika M. Marzillier (037901)
MAY, POTENZA, BARAN & GILLESPIE, P.C.
201 North Central Avenue, 22nd Floor
Phoenix, AZ 85004-0608
Telephone: (602) 252-1900
Facsimile: (602) 252-1114
Email: jcallahan@maypotenza.com
dmarzillier@maypotenza.com

Attorneys for Yavapai Herbal Services, Inc.

BEFORE THE DIRECTOR OF

THE ARIZONA DEPARTMENT OF HEALTH SERVICES

In the Matter of:	Docket No.: 2023-MMR-T0266-DHS
YAVAPAI HERBAL SERVICES, INC.	**REQUEST FOR HEARING**

Yavapai Herbal Services, Inc. ("Yavapai") received the Notice of Intent to Revoke Marijuana Establishment License and Notice of Right to Request Administrative Hearing from the Arizona Department of Health Services ("AZDHS") on June 20, 2023. Pursuant to A.R.S. § 41-1092.03(B), Yavapai hereby requests a hearing before the Arizona Office of Administrative Hearings and to have an Administrative Law Judge review the Notice.

In the Notice, AZDHS informed Yavapai of its intent to revoke Yavapai's marijuana establishment license (No. 00000121ESBM38825533) for a marijuana establishment located at 2 N. 35th Avenue, Phoenix, Arizona 85009, based on alleged violations of regulations. Yavapai disputes the alleged violations and/or whether the Notice represents a legal and proportional remedy for same. As the owner of the license and marijuana establishment, Yavapai is adversely affected by the Department's Notice. Yavapai requests a hearing to review the Notice and alleged violations stated therein because they are in dispute and/or do not amount to violations warranting the revocation, and Yavapai was denied an opportunity to submit a corrective action plan or otherwise correct and/or resolve the alleged violations. Yavapai therefore requests a hearing before the Arizona Office of Administrative Hearings.

DATED this 28th day of June, 2023.

MAY, POTENZA, BARAN & GILLESPIE, P.C.

By *_/s/ Jesse R. Callahan*
Jesse R. Callahan
Danika M. Marzillier
Attorneys for Yavapai Herbal Services, Inc.

ORIGINAL submitted via
hand delivery and electronic mail
this 28th day of June, 2023, to:

Clerk of the Department
Arizona Department of Health Services
150 N. 18th Avenue
Phoenix, AZ 85007
Marijuana@azdhs.gov

COPY of the foregoing sent by
regular and/or electronic mail
this 28th day of June, 2023, to:

Gregory W. Falls
Matthew Hesketh
Shayna Stuart
Sherman & Howard, LLC
gfalls@shermanhoward.com
mhesketh@shermanhoward.com
sstuart@shermanhoward.com

Tom Salow, Assistant Director
Megan Whitby, Deputy Assistant Director
Kim Crawford, Deputy Bureau Chief
Jason Swank, Marijuana Program Compliance Manager
Arizona Department of Health Services
150 N. 18th Ave.
Phoenix, AZ 85007

/s/ Anne Finch